WEEK 4 · LECTURE L2 · UNIT I

Goal Setting Theory and SMART Goals

Specific difficult goals, the mechanisms and moderators, learning goals, and the debate over goals gone wild.

R K Singh · Senior Professor, Department of Commerce · Delhi School of Economics, University of Delhi

DSEH004 · Performance Management and Employee Engagement · M.Com. PGCF 2025 · Exam preparation edition

AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- State the core finding of goal setting theory and its limits.
- Explain the four mechanisms and four moderators of goal effects.
- Decide when a learning goal beats a performance goal.
- Evaluate the goals gone wild critique and the reply to it.

COURSE OUTCOMES

CLO 1 (design performance management systems) and CLO 3 (evaluate motivation theories).

COMMIT BEFORE THEORY

"Do your best" is a perfectly good goal for a new sales hire.

Agree or disagree. What would goal setting theory predict?

THE CORE FINDING · LOCKE AND LATHAM (2002)

Specific, difficult goals raise performance

SPECIFIC AND DIFFICULT

Specific, difficult goals led to higher performance than vague urging to do one's best.

LINEAR UP TO A LIMIT

Performance rose with goal difficulty until the limits of ability or commitment were reached.

Mechanisms and moderators

Mechanisms	Moderators
Direction: attention to relevant activity	Commitment to the goal
Effort: energy matched to difficulty	Feedback on progress
Persistence: effort sustained over time	Task complexity
Strategy: discovering how to do the task	Ability

THEORY IN DEPTH · LOCKE AND LATHAM (2002)

A practically useful theory of goal setting

THE CORE IDEA

Specific, difficult goals produce higher performance than easy or vague goals.

HOW IT WORKS

Goals direct attention, mobilize effort, sustain persistence and prompt strategy; commitment and feedback moderate.

LIMITS AND CRITIQUE

Strongest on simple, measurable tasks; weaker on complex work and on what goals leave out.

IN PRACTICE

A collections team set a specific monthly recovery target with weekly feedback, and improved on it.

EXAM LENS

The foundation for OKRs and SMART goals. State the moderators: without commitment and feedback the effect fades.

THEORY IN DEPTH · SEIJTS AND LATHAM (2005)

Learning goals for complex tasks

THE CORE IDEA

On a new, complex task, a demanding performance goal can narrow attention before the person knows how to do the task.

HOW IT WORKS

Set learning goals first, to discover and master strategies; set performance goals once the method is known.

LIMITS AND CRITIQUE

Telling when a task is "complex enough" for a learning goal requires judgment.

IN PRACTICE

A new relationship manager starts with goals to learn three products, then takes on a revenue target.

EXAM LENS

Use it to answer "do your best" questions: the answer is often a specific learning goal, not a quota.

THE DEBATE

Goals gone wild?

THE CHARGE · ORDÓÑEZ ET AL. (2009)

Goals narrow focus, invite unethical behavior and risk taking, and crowd out intrinsic motivation.

THE REPLY · LOCKE AND LATHAM (2009)

Those harms come from badly set goals, not goal setting itself; the critics ignored the moderating evidence.

EXAM LENS

Present both sides, then name the design safeguards: balanced goals, ethics checks and learning goals for complex work.

Where the acronym came from

DORAN (1981)

SMART began as a practitioner checklist in a management magazine, not as a theory.

LATHAM, EREZ AND LOCKE (1988)

Assigned goals worked as well as participative ones when the reason for the goal was explained.

KEY POINT

SMART describes a well written goal. Goal setting theory explains why it works and when it fails.

COMPARE AND EVALUATE

A stretch sales target, four theories

Theory	Prediction
Goal setting	Higher effort, if the person is committed and gets feedback
Goals gone wild	Gaming, shortcuts and neglect of unmeasured work
Self determination	Controlling targets push motivation toward external regulation
Job Demands Resources	A challenge demand: engaging only if resources match it

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

"Goal setting does more harm than good." Critically evaluate using the goals gone wild debate. **20 marks**

A strong answer: states the core finding; presents Ordóñez et al. and the reply; names moderators and safeguards; reaches a balanced view.

When should a manager set a learning goal instead of a performance goal? Illustrate with an Indian example. **20 marks**

A strong answer: explains Seijts and Latham; links to task complexity; gives a staged design; notes judgment calls.

Explain the mechanisms through which goals affect performance. **10 marks**

A strong answer: names direction, effort, persistence and strategy; one example each.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. Specific, difficult goals work when people are committed and get feedback
2. On complex new tasks, set learning goals before performance goals
3. SMART is a checklist; goal setting theory is the explanation

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Buckingham, M., & Goodall, A. (2015). Reinventing performance management. *Harvard Business Review, 93*(4), 40–50. Reread through the design lens.

Locke, E. A., & Latham, G. P. (2002). Building a practically useful theory of goal setting and task motivation: A 35 year odyssey. *American Psychologist, 57*(9), 705–717.

Doerr, J. (2018). *Measure what matters: How Google, Bono, and the Gates Foundation rock the world with OKRs*. Portfolio. Chapters 1 to 3.

HOW TO USE THESE

These are the Week 4 set readings. Locke and Latham (2002) is the core reading for this lecture.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture (1 of 2)

Works named on the slides of this lecture. They are background sources, not set readings.

Doran, G. T. (1981). There's a S.M.A.R.T. way to write management's goals and objectives. *Management Review, 70*(11), 35–36.

Latham, G. P., Erez, M., & Locke, E. A. (1988). Resolving scientific disputes by the joint design of crucial experiments by the antagonists: Application to the Erez–Latham dispute regarding participation in goal setting. *Journal of Applied Psychology, 73*(4), 753–772. https://doi.org/10.1037/0021-9010.73.4.753

Locke, E. A., & Latham, G. P. (2002). Building a practically useful theory of goal setting and task motivation: A 35 year odyssey. *American Psychologist, 57*(9), 705–717. https://doi.org/10.1037/0003-066x.57.9.705

Sources for this lecture (2 of 2)

Locke, E. A., & Latham, G. P. (2009). Has goal setting gone wild, or have its attackers abandoned good scholarship? *Academy of Management Perspectives, 23*(1), 17–23. https://doi.org/10.5465/amp.2009.37008000

Ordóñez, L. D., Schweitzer, M. E., Galinsky, A. D., & Bazerman, M. H. (2009). Goals gone wild: The systematic side effects of overprescribing goal setting. *Academy of Management Perspectives, 23*(1), 6–16. https://doi.org/10.5465/amp.2009.37007999

Seijts, G. H., & Latham, G. P. (2005). Learning versus performance goals: When should each be used? *Academy of Management Executive, 19*(1), 124–131. https://doi.org/10.5465/ame.2005.15841964